IN THE SUPREME COURT OF THE STATE OF OREGON

STOP THE DUMP COALITION, WILLAMETTE VALLEY WINERIES ASSOCIATION, RAMSEY MCPHILLIPS, and FRIENDS OF YAMHILL COUNTY,
Petitioners,
Cross-Respondents,
Petitioners on Review,

v.

YAMHILL COUNTY and RIVERBEND LANDFILL CO.,
Respondents,
Cross-Petitioners,
Respondents on Review.

Land Use Board of Appeals
2016026

A162746

S064894

BRIEF ON MERITS – PETITIONERS ON REVIEW

Appeal from a July 8, 2016 Final Opinion and Order of the Land Use Board of Appeals, Opinion by Bassham, Board Member

The Court of Appeals affirmed on petition and cross-petition on March 22, 2017. Before Sercombe, P.J., Flynn, J., and DeHoog, J., Opinion by Sercombe, P.J.

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I. INTRODUCTION

This proceeding arises out of the approval by Respondent/Cross-Petitioner/Respondent on Review Yamhill County (the "county") of an application by Respondent/Cross-Petitioner/Respondent on Review Riverbend Landfill Co. (the "applicant" or "Riverbend") for Site Design Review and Floodplain Development permits for the expansion of its landfill in the Exclusive Farm Use (EFU) zone.[1]

This Court's review follows two appeal proceedings in the Land Use Board of Appeals and one in the Court of Appeals. For ease of reference, these will be denoted as follows:

"*SDC-1*"—*Stop the Dump Coalition v. Yamhill County*, 72 Or LUBA 341 (2015).

"*SDC-2*"—*Stop the Dump Coalition v. Yamhill County*, 74 Or LUBA 1 (2016).

"*SDC*"—*Stop the Dump Coalition v. Yamhill County*, 284 Or App 470, ___ P3d ___ (2017), *rev allowed*, 361 Or 645 (2017).

Riverbend's landfill is classified as a nonfarm use. Land uses allowed outright in EFU zoning districts in nonmarginal lands counties are listed in ORS

[1] The county and Riverbend are collectively referred to as "respondents" herein.

215.283(1).[2] ORS 215.283(1) lists 24 categories of uses allowed as a matter of right in the EFU zone. Landfills are not listed among them.

ORS 215.283(2) lists a number of nonfarm uses, conditionally approvable if they are shown to comply with the requirements of ORS 215.296. ORS 215.283(2)(k) refers to a "site for the disposal of solid waste." Riverbend sought approval of its landfill expansion by means of that provision, and thus had to meet the burden of proof established by ORS 215.296. The statute provides in material part:

> 215.296 Standards for approval of certain uses in exclusive farm use zones; violation of standards; complaint; penalties; exceptions to standards. (1) A use allowed under ORS 215.213 (2) or (11) or 215.283 (2) or (4) may be approved only where the local governing body or its designee finds that the use will not:
>
> (a) Force a significant change in accepted farm or forest practices on surrounding lands devoted to farm or forest use; or
>
> (b) Significantly increase the cost of accepted farm or forest practices on surrounding lands devoted to farm or forest use.
>
> (2) An applicant for a use allowed under ORS 215.213 (2) or (11) or 215.283 (2) or (4) may demonstrate that the standards for approval set forth in subsection (1) of this section will be satisfied through the imposition of conditions. Any conditions so imposed shall be clear and objective.

As LUBA stated in *SDC-2*, 74 Or LUBA at 5, the "ORS 215.296(1) test is sometimes referred to as the Farm Impacts test or the significant change/cost

[2]Yamhill County is a so-called nonmarginal lands county. There are only two "marginal lands" counties, in which uses on EFU lands are governed by an equivalent statute, ORS 215.213. The distinction has no relevance in this appeal.

standard." For consistency of reference, petitioners will refer to it as the "farm impacts test" herein.

Petitioners on review ("petitioners")[3] successfully appealed the county's approval of Riverbend's application to LUBA twice, in *SDC-1* and *SDC-2*. In each instance, LUBA construed the language of ORS 215.296(1) pursuant to its plain text:

> Because the term "significant" is undefined, and of common usage, it is permissible to consult dictionary definitions. The most pertinent definition of "significant" in Webster's Third New International Dictionary (2002), 2116, appears to be "3 a: having or likely to have influence or effect: deserving to be considered[.]" Because ORS 215.296(1) is framed in the negative (the applicant must demonstrate that the proposed use "will not" force a significant change, etc.), it seems appropriate to consider related antonyms such as the term "insignificant," which Webster's defines in relevant part as "e: of little size or importance[.]" * * *
>
> *SDC-2*, 74 Or LUBA at 5, n 3.

LUBA's remand in *SDC-2* was issued upon narrow grounds, and petitioners petitioned the Court of Appeals for judicial review.[4] The court affirmed LUBA's decision, while setting out an entirely new interpretation of the language of the statute. The court adopted two new and substantially similar approaches to the farm impacts test contained in ORS 215.296. It stated:

> [A] "significant" change or cost increase of an accepted farm practice is a change or cost increase that will significantly affect

[3]Petitioner Friends of Yamhill County ("FYC") was designated an intervenor-petitioner in both of the LUBA appeals described herein.

[4]Respondents filed a cross-petition for judicial review, challenging the portion of LUBA's decision sustaining one of petitioners' assignments of error.

> the preservation of productive agricultural land for, among other things, the purpose of obtaining a profit in money and providing food.

SDC, 284 Or App at 485.

The court also stated that the "relevant inquiry is whether the conditioned practice or cost is 'significant' because the change will significantly decrease the supply of agricultural land, the profitability of the farm, or the provision of food." *Id.* at 486.

In this review proceeding, petitioners seek review of the written opinion of the Court of Appeals affirming LUBA on petitioners' petition for judicial review. This case presents an issue of first impression in this Court regarding the interpretation and application of ORS 215.296(1) as to impacts of nonfarm uses upon accepted farm and forest practices and the cost of those practices.[5] It also presents an issue of first impression regarding the interpretation and application of ORS 215.296(2), governing conditions of approval intended to demonstrate compliance with ORS 215.296(1).

Petitioners contend that the decision of the Court of Appeals conflicts with the plain text of the statute, the legislative intent behind its adoption, and the underlying statutory and regulatory scheme. Therefore, the portion of the Court of Appeals decision affirming LUBA on petitioners' petition for judicial

[5] In this proceeding, petitioners address only the effects of the court's ruling with respect to farm practices. However, we would expect that the test adopted by the court would apply equally to impacts upon forest practices, and the problems identified here would arise as to forest practices as well.

review should be reversed, and this case remanded to LUBA for further proceedings consistent with the opinion of this Court.

II. QUESTIONS PRESENTED AND PROPOSED RULES OF LAW

A. Questions Presented on Review

(1) In the review of a proposed nonfarm use in an EFU zone under ORS 215.296(1) and (2), will the applicant meet its burden of proof under the farm impacts test by showing that the use will not significantly decrease the supply of agricultural land, the profitability of affected farms, or the provision of food?

(2) Does the applicant meet its burden under the farm impacts test by means of conditions of approval adopted under ORS 215.296(2) which force the farmer to adopt new farm practices against his/her will in order to mitigate impacts?

(3) Does the applicant meet its burden under the farm impacts test by means of conditions of approval which force the farmer against his/her will to regularly allow the entry of third parties onto the farm to carry out mitigation at the applicant's expense?

B. Proposed Rules of Law

(1) Achieving compliance with ORS 215.296(1) requires compliance with both ORS 215.296(1)(a) (no significant change in accepted farm practices) and (1)(b) (no significant increase in the cost of accepted farm practices), and not merely one or the other.

(2) Under ORS 215.296(1)(a), a proposed nonfarm use will force a change in accepted farm practices if it will influence or affect such practices. That change is deemed significant unless it is of little size or importance. Similarly, under ORS 215.296(1)(b), a proposed nonfarm use which increases the cost of accepted farm practices will significantly increase such cost unless the increase is of little size or importance.

III. NATURE OF PROCEEDING AND MATERIAL FACTS

A. Nature of Action and Relief Sought

As set out in petitioners' introduction, above, this appeal seeks review of a written opinion of the Court of Appeals which affirmed the Land Use Board of Appeals' application of ORS 215.296(1) and (2), while setting forth an entirely new interpretation of the statute. The underlying proceeding before Yamhill County had resulted in the approval of respondent Riverbend's application for Site Design Review and Floodplain Development permits to allow the expansion of its landfill, a nonfarm use, in the Exclusive Farm Use (EFU) zone.

Petitioners seek reversal of the decision of the Court of Appeals upon petitioners' petition for judicial review in that court, and remand of this case to LUBA for further proceedings consistent with the opinion of this Court.

B. Material Facts

Respondent Riverbend owns and operates Riverbend Landfill, used for dumping garbage and other waste, within a bend of the South Yamhill River approximately three miles southwest of McMinnville. The landfill is a solid waste disposal facility in an EFU zoning district; the surrounding area consists largely of EFU-zoned lands in various agricultural uses.

In 2014, Riverbend filed an application with the county for the expansion of its landfill. The county approved Riverbend's application with conditions, and petitioners appealed the county's decision to LUBA in *SDC-1*. In its final opinion and order in *SDC-1*, LUBA described the nature of the county's proceeding:

> Riverbend * * * filed applications for site design review and a floodplain development permit to authorize the proposed expansion. Riverbend proposed to add a new Module 10 north of the existing landfill site, and a new Module 11 southwest of the site. The proposed expansions would occupy land that qualifies as high-value farmland. Riverbend also proposed to increase the height of existing berms and add additional fill to five existing modules. The proposed expansions would add 15 years of capacity to the landfill operation, which would otherwise reach full capacity in 2017.[6]
>
> *SDC-1*, 72 Or LUBA at 347.

In other words, Riverbend's landfill was an existing operation. As a result, the nature of its impacts upon nearby farms was known and not a matter

[6]Proposed Module 10 was removed from the application before the county reached its decision. Proposed Module 11 and the reopening of existing modules remained and were approved.

of conjecture. The proposed expansion of the landfill would bring Riverbend's operation and its known impacts closer to certain farms than had previously been the case. The extension of the landfill's lifetime by 15 years would greatly prolong the duration of its impacts upon farms and farmers.

IV. ARGUMENT

A. Cumulative Impacts Across Two or More Farms

Finally, the court's rationale for disregarding cumulative impacts across multiple farms, where each impact approaches the threshold of significance, has no basis in the language of ORS 215.296(1). *SDC*, 284 Or App at 494-96. Taken together, such impacts may significantly disrupt the critical mass of producers in a given area, forcing many to change crops or cease farming. The court's reasoning thus fails to square with a component of its own test for significance —impacts causing a significant decrease in the supply of agricultural land.

Petitioners incorporate by reference here the argument regarding cumulative impacts set out at pages 10-12 of the Brief of amicus curiae Oregon Farm Bureau Federation. Petitioners would add that the court's reliance upon *Von Lubken v. Hood River County*, *supra*, 118 Or App at 251, is misplaced. The issue addressed in *Von Lubken* was whether six impacts of a proposed golf course upon a farm had to be addressed cumulatively. The court held that to be the case; it was insufficient for the applicant to show only that the impacts were not significant on an individual basis. *Id.* However, the court simply did not

reach the issue of the significance of single or multiple categories of impacts affecting multiple farms.

For these reasons, the court erred in the way it applied ORS 215.296(1) to the need for applicants for nonfarm uses to meet their burden of proof regarding the significance of cumulative impacts.

V. CONCLUSION

This Court should reverse the judgment of the Court of Appeals as a result of its misconstruction and incorrect interpretation of ORS 215.296(1) and (2). The Court should remand this case to LUBA for further proceedings consistent with the text of the statute and the intent of the legislature when that text was enacted.

Respectfully submitted this 10th day of August, 2017.

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CERTIFICATE OF SERVICE AND FILING and Certificate of Word Count

I hereby certify that on the date indicated below, I caused to be filed the attached BRIEF ON MERITS – PETITIONERS ON REVIEW with the State Court Administrator, Supreme Court Building, 1163 State Street, Salem, OR 97301-2563, by e-filing. On the same date, I caused to be served on the following parties or attorneys:

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I further certify that BRIEF ON MERITS – PETITIONERS ON REVIEW complies with the word count limitation in ORAP 5.05(1)(b)(i)(A) for an opening brief in the Supreme Court; it is proportionately typed, not smaller than 14-point font for the body and footnotes, and contains 12,871 words.

DATED this 10th day of August, 2017.

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